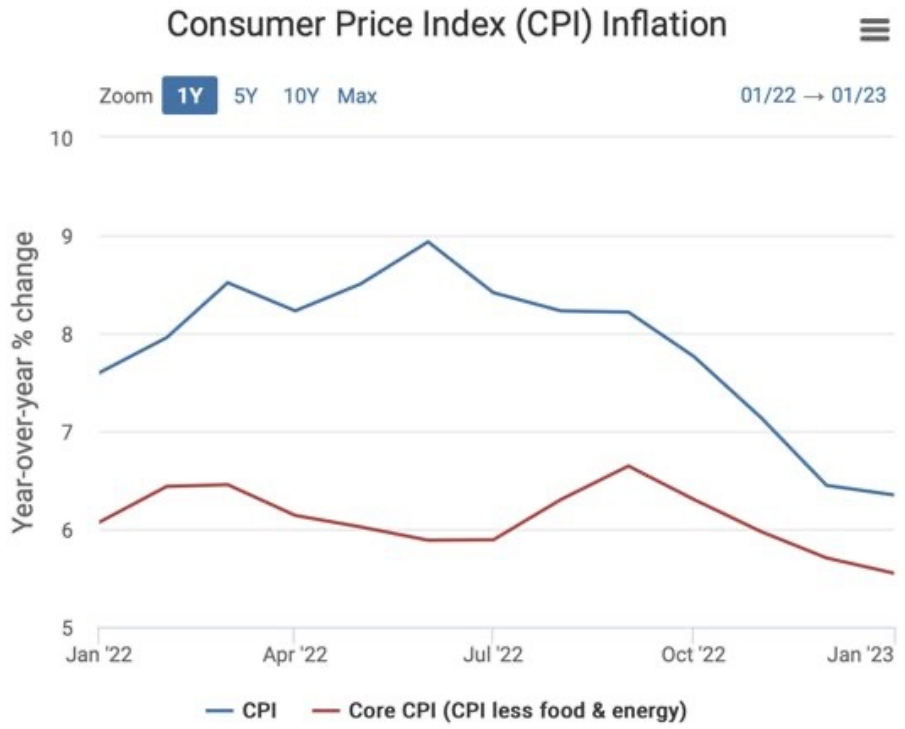
Current Conditions

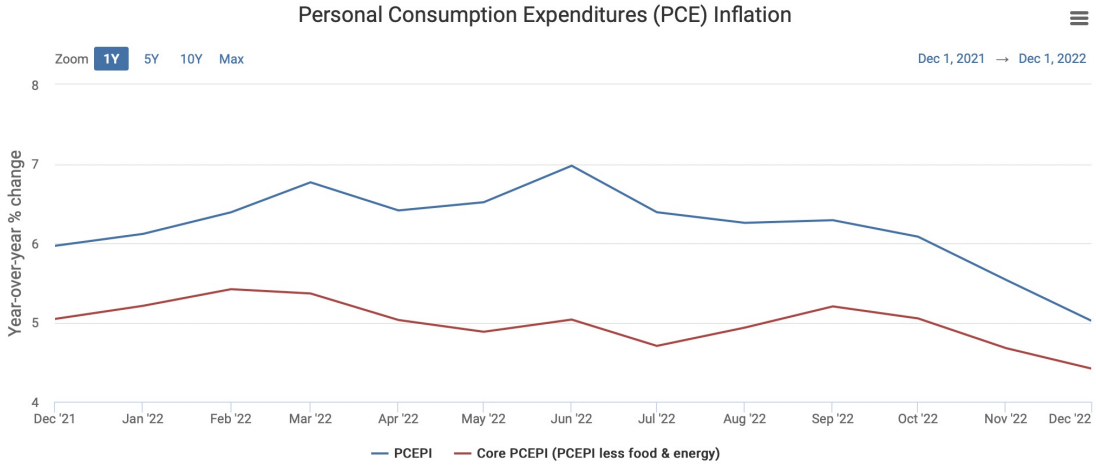
Team 1 "The Hand"

Inflation

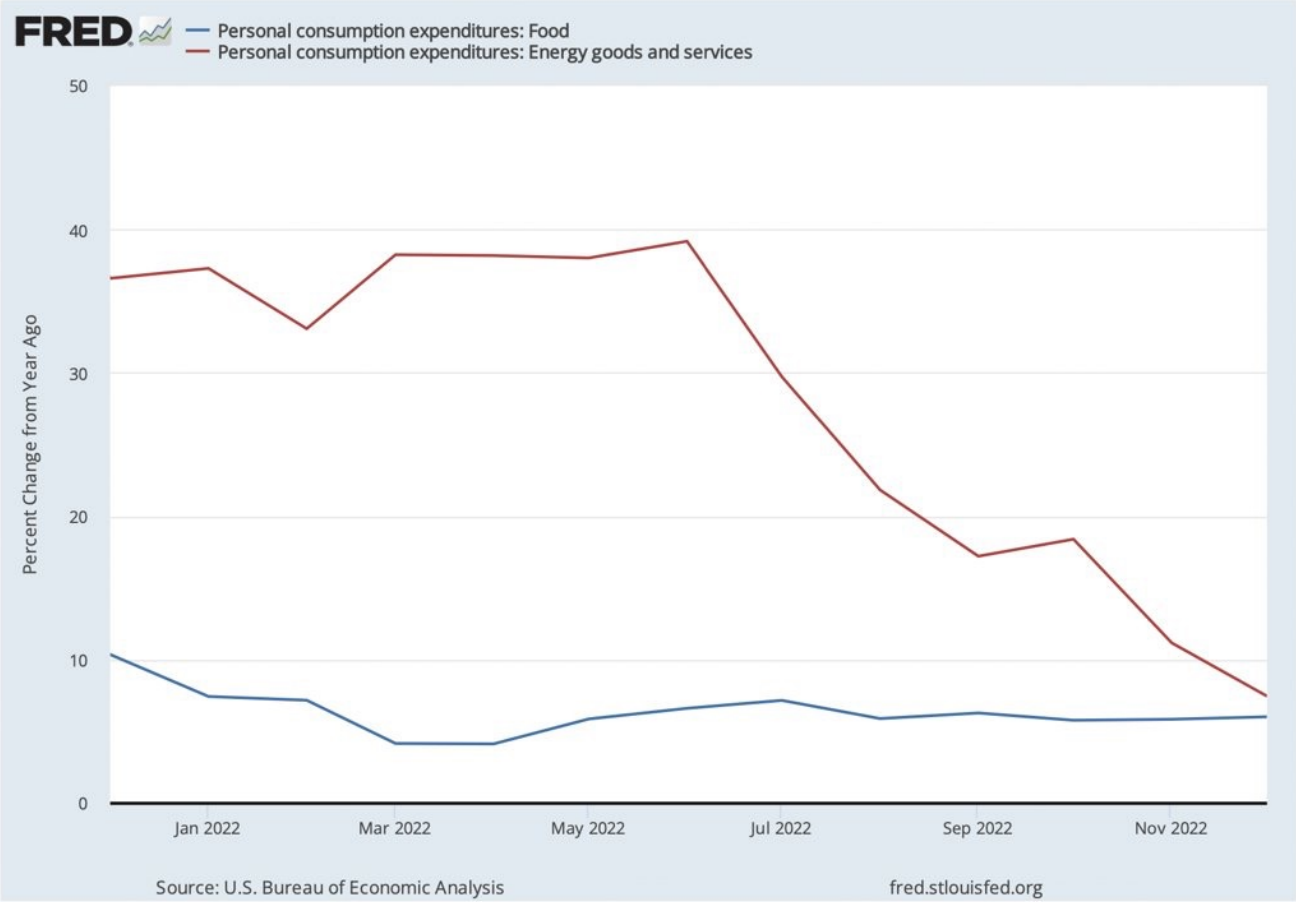
CPI and PCE

- CPI: 6.35% in January, only slightly lower than the 6.44% increase in December.
  - YoY CPI inflation hit a 40-year high of 8.93% back in June 2022, and it has now declined for seven consecutive months, but the rate of decline is slowing.
- Core CPI: 5.55% in January, slightly lower than the 5.70% in December.
  - YoY Core CPI reached its peak (6.64%) in September 2022, and it has now declined for four consecutive months, and its rate of change from December to January is lower than the previous ones.
- PCE: 5.02% in January, lower than the 5.54% increase in December.
  - YoY PCE hit a 40-year high of 6.98% back in June 2022, and it has now declined for seven consecutive months. The rate of decline is increasing after Q4, 2022.
- Core PCE: 4.42% in January, lower than the 4.68% increase in December.
  - YoY core PCE has been hovering between 4.70% and 5.20% for 6 months (from April 2022 to September 2022). Since October 2022, it has been decreasing for four consecutive months.





PCE – Food and Energy



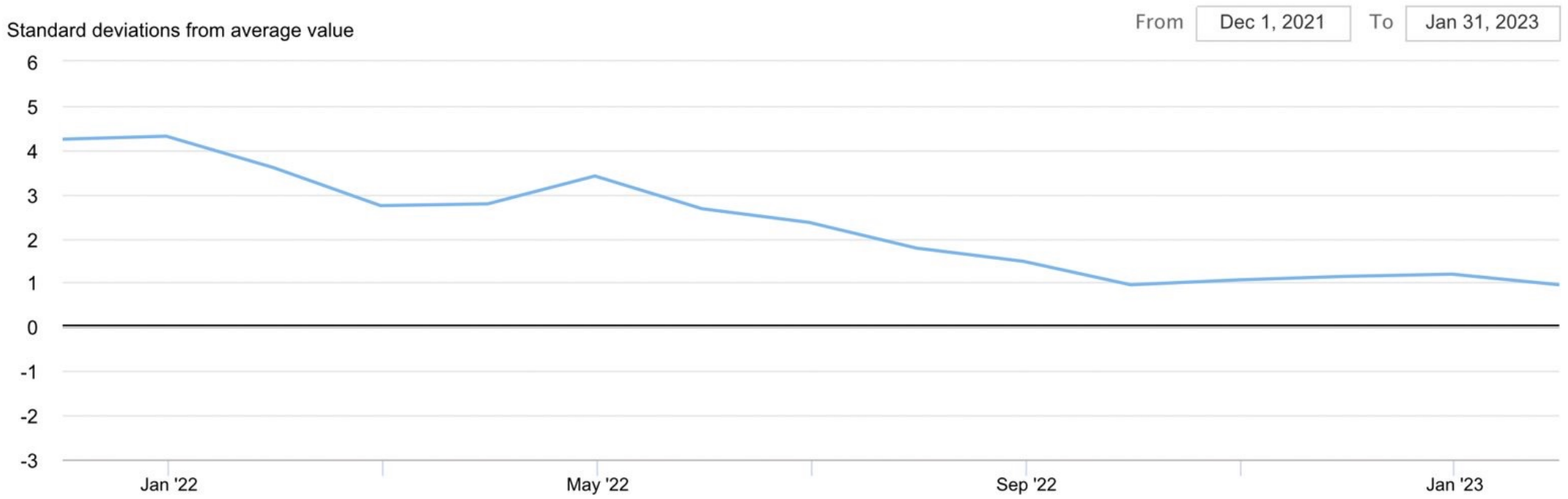
- Due to the sluggish global demand and the recovery of supply chain, YoY food (blue line) and energy (red line) PCE index decreased over the past 12 months after reaching their peaks in December 2022.

- We could also find evidence of the supply chain recovery from the decline in the New York Fed Supply Chain index.

New York Fed Supply Chain Index

Latest Update January 2023

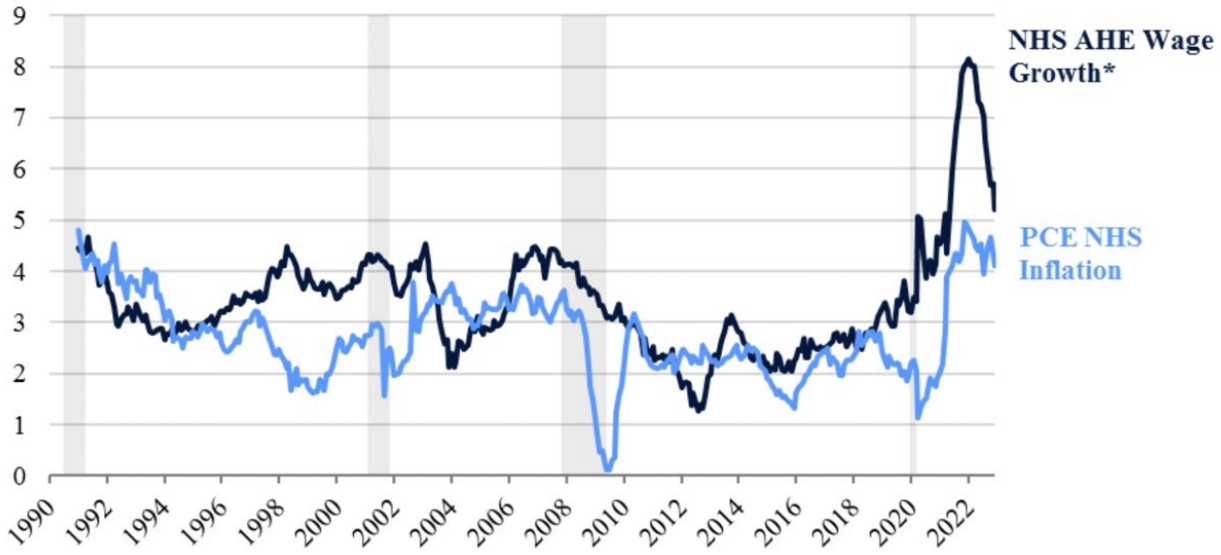
Enter a date range to see monthly estimates or use the slider below to view a specific date range.



Super Core Inflation

Figure 2. NHS Wage Growth and Inflation

Percent, year-on-year



* Production and nonsupervisory workers.
Source: BLS, BEA, CEA analysis.

- Supercore inflation comprises the price of services excluding energy and housing. The Fed focuses on inflation in services because those prices are more likely to be driven by the cost of labor, since non-housing service industries are generally labor-intensive, which the Fed can more easily control with interest rates. The price of goods, on the other hand, is more affected by global factors such as supply chain logistics.

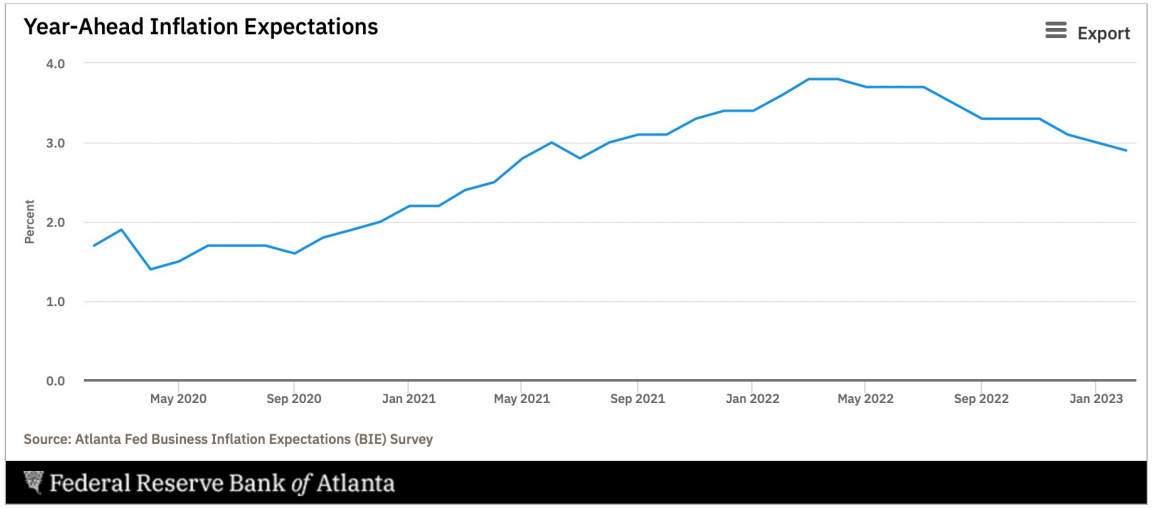
- In general, removing the housing from Core Services yields the Supercore. The Supercore inflation peaked at 5.7% in October 2022 and decreased to 4.19% in December 2022. In Q4 2022, while prices in the rest of PCE have been falling, Supercore inflation is still elevated. One possible explanation is that Americans are transitioning their spending from goods to services.

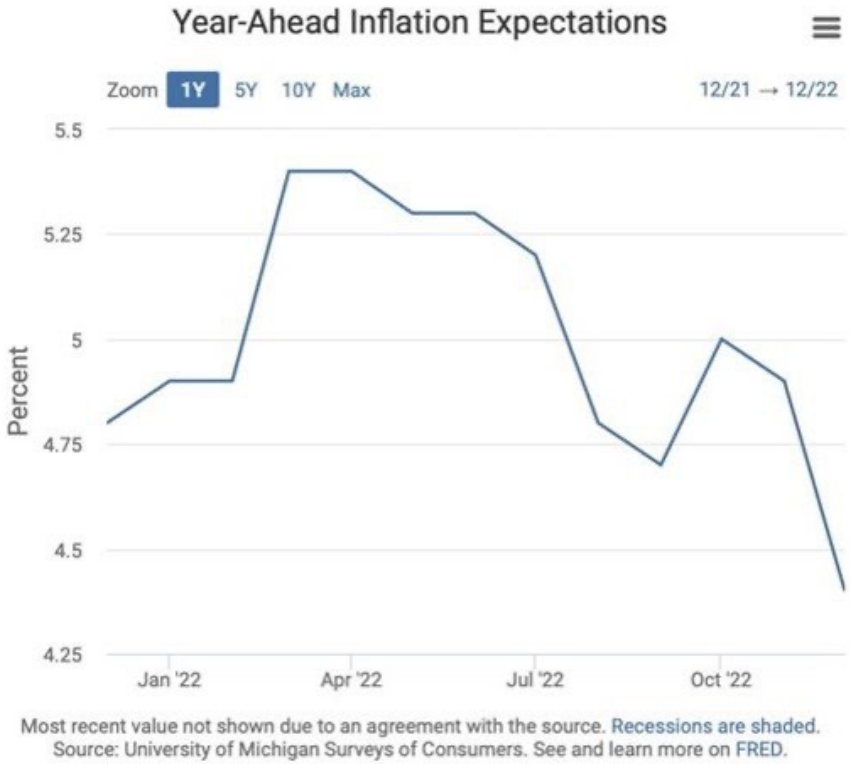
- The Figure shown plots the yearly percent change in the non-housing service average hourly earnings (NHS AHE wages) wage series and NHS inflation. According to the White House CEA, the two series are correlated, with a coefficient of 0.46 since 1991 and 0.83 since 2015. This result suggests that NHS AHE may possibly improve economists' ability to identify the drivers of NHS inflation.

Inflation Expectations (survey based)

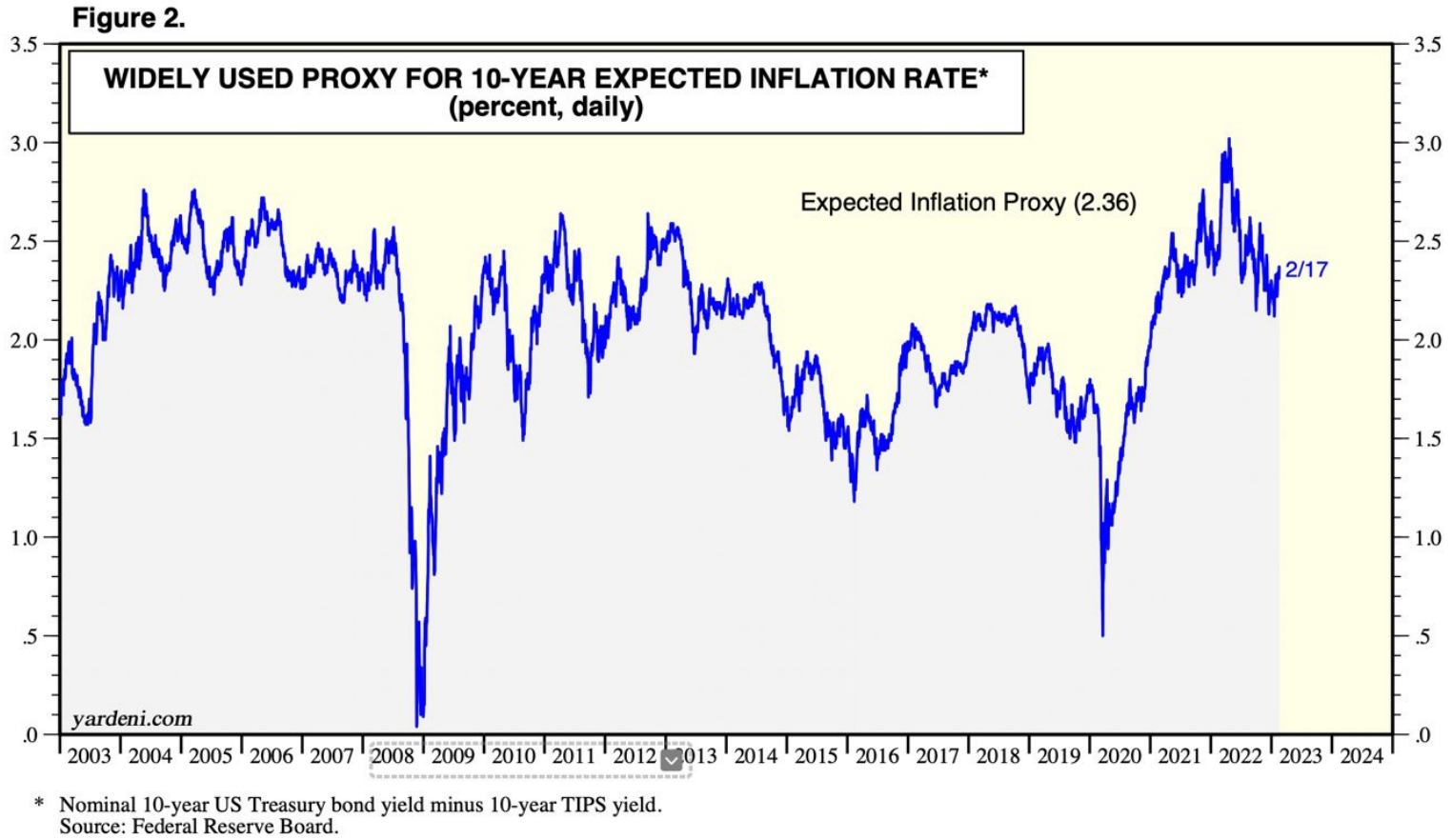
Survey based expectations:

- Federal Reserve of Atlanta: year-ahead business inflation expectation has been decreasing since May 2022 and is currently 2.9%.
- University of Michigan Surveys of Consumers: the year-ahead inflation expectations has been decreasing sharply since November 2022, currently at 4.4%, after a short rebound in September and October 2022.





Inflation Expectations (market based)



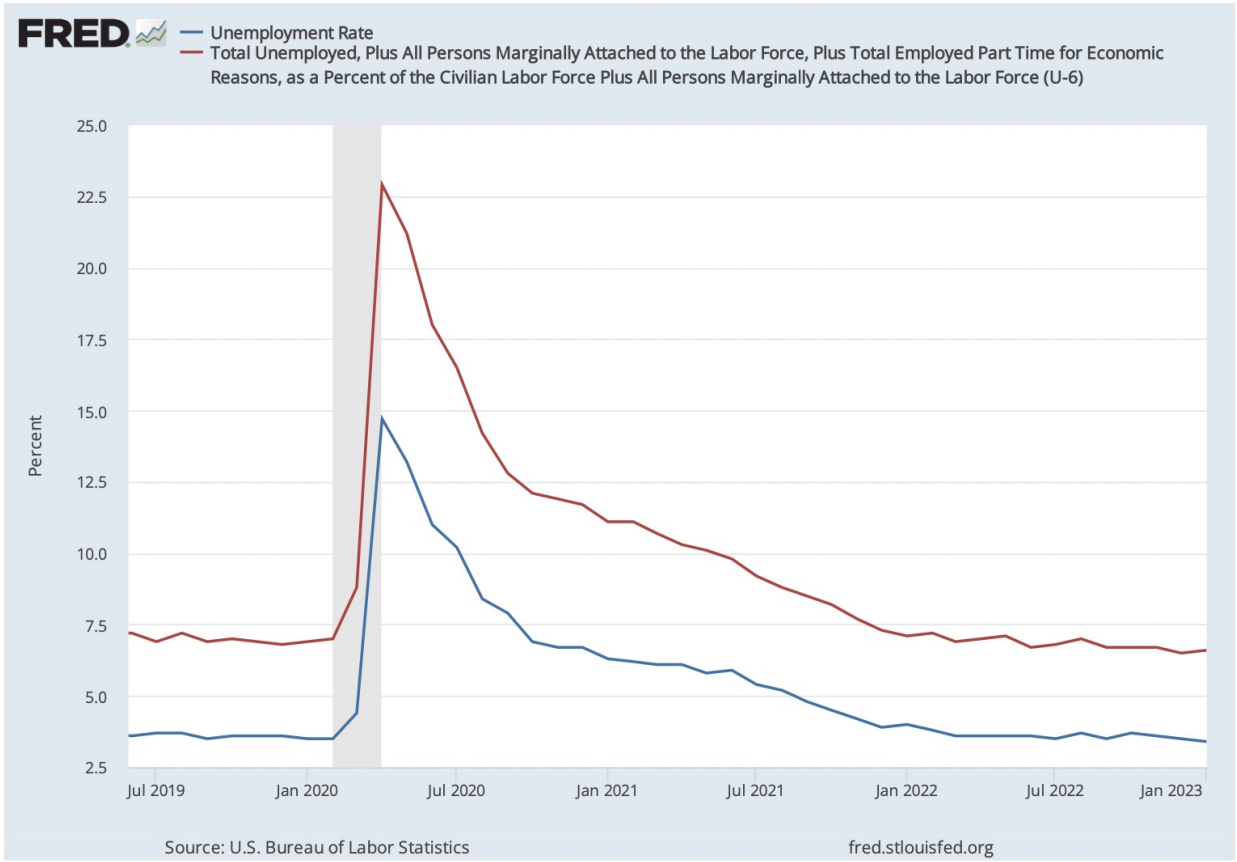
Market based expectations:

- Difference between nominal 10-year Treasury yields and TIPS yields: the inflation expectation is currently estimated to be 2.36%, decreasing from around 5% in April 2022.

The Labor Market

U3 and U6

- U3: The observed Unemployment Rate for January 2023 was 3.4, changing little from previous months. The Unemployment Rate for November and December of 2022 of 3.6 and 3.5. The unemployment rate has shown little net movement since early 2022.
- U6: The observed Total Unemployment for January 2023 was 6.6. The Total Unemployment Rate for November and December of 2022 was 6.7 and 6.5, respectively.



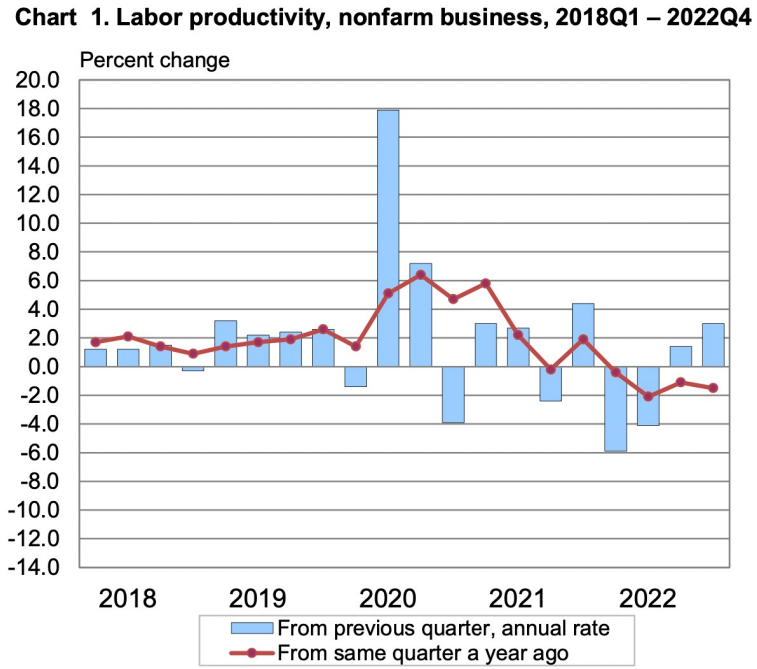


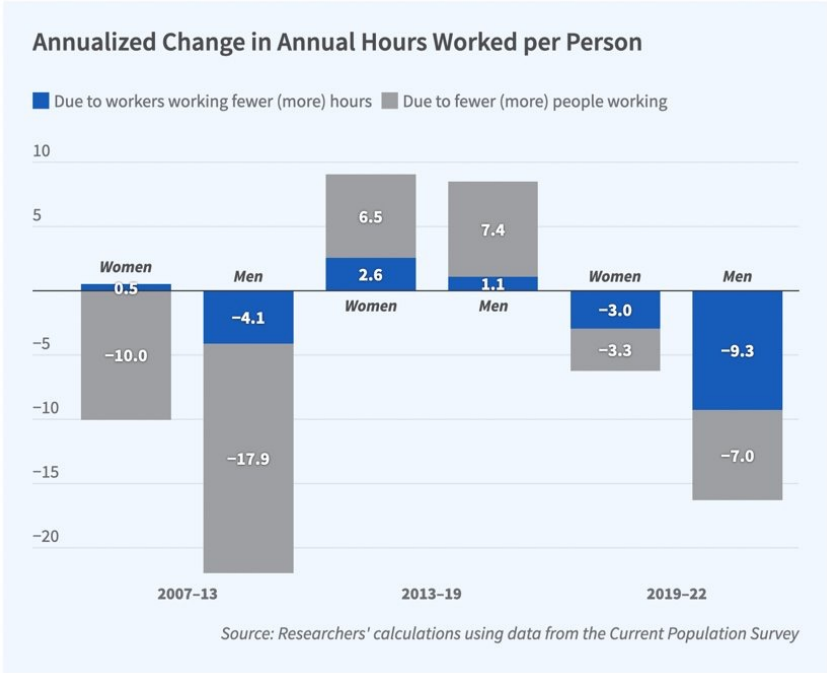
Job Openings and Labor Participation Rate

- 11.012 million Total Nonfarm Job Openings reported in January. This is relative to November 2022 which was 10.044 million and December 2022 which was 11.012 million.
- Labor Force Participation Rate was observed to be 62.4 in January 2023. In November and December of 2022, Labor Force Participation was 62.2 and 62.3, respectively. This measure shows little net change since early 2022 and is below pre-pandemic levels.

Labor Productivity

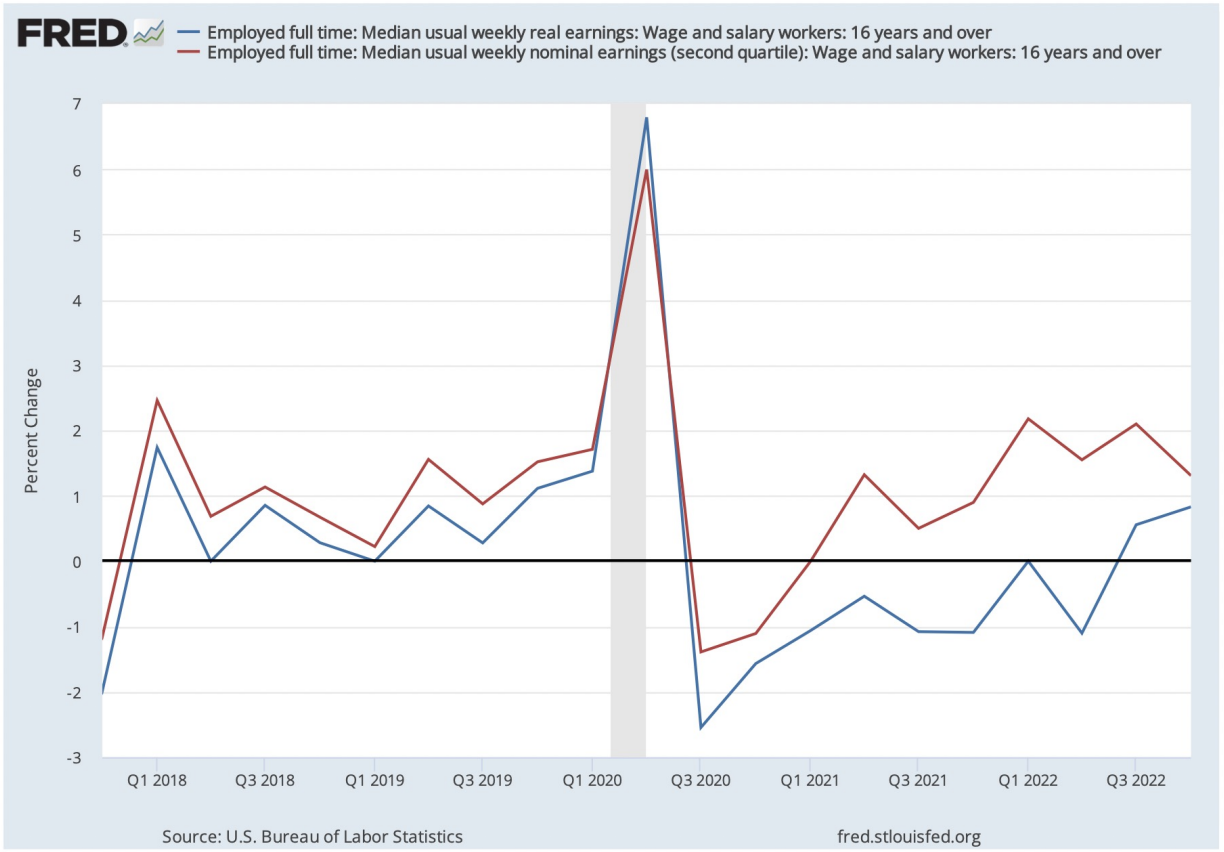
- CPI: The BLS reported that the consumer price index (CPI) was 6.35% in January, only slightly lower than the 6.44% increase in December.
- Core CPI: The observed Total Unemployment for January 2023 was 6.6. The Total Unemployment Rate for November and December of 2022 was 6.7 and 6.5, respectively.
- PCE:
- Core PCE:





Real and Nominal Wages

- Real: Average Hourly Earnings of All Employees was $33.03 in January 2023. In November and December of 2022 Average Hourly Earnings of All Employees was 32.80 and 32.93, respectively.
- Nominal: Real average hourly earnings for all employees decreased 0.2 percent from December to January, seasonally adjusted. This result stems from an increase of 0.3 percent in average hourly earnings combined with an increase of 0.5 percent in the Consumer Price Index for All Urban Consumers (CPI-U).
- ***The graph displays weekly wages.



Employment by Industry

According to the BLS, job growth in January was widespread, but the industries that dominated growth were leisure and hospitality, professional and business services, and health care.

Government employment also experienced growth.

As of January 2023, the Private Education and Health Services industry holds the majority of employment, which has been the case since May 2020.

Policy Recommendation

The Fed should remain relatively hawkish, continue increasing the interest rate to 5 percent, and maintain IR at high level.

- **Upward Risks (too dovish):**
  - The FOMC aims for 2 percent annual inflation as measured by the price index for personal consumption expenditures, or PCE, but inflation has averaged 5.8 percent at an annual rate since January 2021.
    - NHS and other Supercore inflation indices also indicate that it still takes time for inflation to dissipate.
  - Rebound in Supply-side issues:
    - A further easing of China's pandemic restrictions could prompt a rise in demand that would drive up oil prices, although statistical measures suggest that supply-chain pressures peaked in December 2021 and have now recovered substantially.
    - Disruptions resulting from Europe's energy crisis may also engender supply chain uncertainty.
  - A perception of Fed softening risks would cause financial conditions to ease, thereby placing upward pressure on inflation.

Policy Recommendation

The Fed should remain relatively hawkish, continue increasing the interest rate to 5 percent, and maintain IR at high level.

- **Downward Risks (too hawkish)**
  - Since inflation expectations are falling, real interest rates have soared to 2%, the highest since 2007. A more dovish stance in monetary policy should be considered otherwise the financial market will be overly tightened by rate hikes.
    - Expectations Matter
      - If inflation expectations recede towards their pre-pandemic levels, real interest rates would rise by 1 pp—reaching a height that has always preceded a recession over the past couple of decades.
      - If inflation proves to be persistent this year, expectations for future inflation may rise, which would lead to a reduction in real rates. The Fed could end up cutting nominal rates sooner than it has forecast, as many investors predict.
- What if the labor market is not as tight as we think? Many researchers are now suspecting the reliability of the job openings and labor turnover survey due to the existence of "Ghost job postings"- listings that employers are no longer actively hiring or recruiting for. Researchers speculate that companies are posting jobs but not trying to fill them, perhaps due to uncertainties about the economy. Therefore, the job vacancies are likely to be overestimated.